

25STCV25966 25STCV25966

County: los-angeles

Division: Civil Law and Motion

Department: 414

Hearing date: 2026-08-06

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Case Number: 25STCV25966 Hearing Date: August 6, 2026 Dept: 414

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Ferguson v. JPMorgan Chase Bank, et al.

Thursday,

August 6, 2026

[TENTATIVE] ORDER SUSTAINING DEMURRER OF DEFENDANT, JPMORGAN CHASE BANK, N.A., TO PLAINTIFF'S FIRST AMENDED COMPLAINT (2076)

I. BACKGROUND

The

first amended complaint alleges that Defendant, JPMorgan Chase Bank ("Chase"), approved a wire transfer from Plaintiff's account to a Capital One, N.A. account owned by an individual who presented multiple high fraud risks that were readily discoverable by both institutions. (FAC ¶ 16.) Plaintiff alleges claims for negligence and violation of Commercial Code UCC Article 4A against both Defendants, and breach of contract and breach of fiduciary duty against Chase only.

Chase

demurs to the claims for (1) negligence, (3) breach of contract, and (4) breach of fiduciary duty.

Defendant

timely served the demurrer on Plaintiff who did not file an opposition.

II.

LEGAL

STANDARDS

A demurrer tests the sufficiency of a

complaint as a matter of law and raises only questions of law. (Schmidt v. Foundation Health (1995) 35 Cal.App.4th 1702, 1706.) In testing the

complaint's sufficiency, the court must assume the truth of the properly

pleaded factual allegations as well as facts that can be reasonably inferred

from those expressly pleaded facts. The court may also consider matters

properly subject to judicial notice. (Blank v. Kirwan (1985) 39 Cal.3d 311, 318.)

III. DISCUSSION

Defendant

argues the common law claims for negligence, breach of contract, and breach of

fiduciary duty are displaced by Division 11 of the California Commercial Code

which provides exclusive remedies under the alleged circumstances. This is

supported by Zengen, Inc. v. Comerica Bank

(2007) 41 Cal.4th 239, 253 which held

that "division 11 provides that common law causes of action based on allegedly

unauthorized funds transfers are preempted in two specific areas: (1) where the

common law claims would create rights, duties, or liabilities inconsistent with

division 11; and (2) where the circumstances giving rise to the common law

claims are specifically covered by the provisions of division 11." (Id.)

The intent of the drafters was to provide a "comprehensive body of law

to govern the rights and obligations resulting from wire transfers.

[Citations.]" (Zengen,

at 253 [*italics in original*].)

In

Zengen, the plaintiff's claims were based on the allegation that the bank

should not have accepted and executed the fraudulent payment order. (Id.

at 254-255.) The statute sets forth the respective rights and liabilities of

the parties upon the acceptance of a payment order. (Id. at 255.) Here,

Plaintiff's claims arise from conduct surrounding the alleged wire transfer.

IV. CONCLUSION

Because

Plaintiff's common law claims arise entirely from the alleged fraudulent wire

transfer, they are preempted. Plaintiff did not file an opposition and thus does not address the viability of those claims or the issue of preemption. Accordingly, the demurrer to the first, third, and fourth causes of action is SUSTAINED without leave to amend. Leave to amend is unwarranted because the defect is one of substantive law rather than pleading. Where the material facts are not in dispute, the nature of the claims is clear, and no liability exists as a matter of substantive law, leave to amend should be denied. (Lawrence v. Bank of America (1985) 163 Cal.App.3d 431, 436.)